

INDIAN ECONOMY

LEVEL
II

The Bihar Famine
(1966-67)



Land Acquisition

LECTURES

HOW TO MAKE INDIA A GLOBALLY
COMPETITIVE ECONOMY?

MODULE - 20





SERIOUS CRISIS IN THE ECONOMY DURING 1962 TO 1974!

- In the 12 years from 1962 to 1974, India fought three wars, suffered four droughts that produced famine in places like Bihar, and lived through the first oil shock, which resulted in quadrupling of crude oil prices.
- The country also endured sustained double-digit inflation, which peaked to 26 per cent.
- In 1966, it had to devalue the rupee by 36 per cent.

There were policy misadventures like the short-lived government takeover of the wholesale trade in foodgrains. Other aspects pertaining to this period include split in the ruling Congress, Massive labour strikes, the birth of Naxalism etc.

THE CHALLENGES SUBSEQUENT TO THOSE TURBULENT YEARS WERE NOT THAT SEVERE!

- Oil shocks combined with drought shrunk the GDP by 5 per cent in 1979-80.
- Khalistan and Kashmir challenges to the nationhood.
- Foreign Exchange Crisis of 1991, which resulted in the devaluation of the Rupee.
- Asian Financial Crisis of 1990s
- Global Financial Crisis in 2008.
- Twin balance-sheet crisis of debt-laden companies and near-bankrupt banks.

- Demonetisation of 2016.
- Three waves of the Covid pandemic and lockdown of 2020. And now, we are facing the problems pertaining to Russia-Ukraine conflict.





NOW, THE GOVERNMENT IS WELL POSITIONED TO TAKE SUCH RISKS!

- Now, there are no more food shortages and we are having surplus food grains.
- Reserves of foreign exchange are quite comfortable, inflation is within manageable limits and the currency is relatively stable.
- We have strategic petroleum reserves, which can take the oil shock to some extent.

But the biggest problem is our import dependence for crude oil for which there is no solution in the foreseeable future of the country!



THREE - WAY COMFORT FOR THE INDIAN ECONOMY AND THE MASSES!

1

THE HEALTH OF THE COMPANIES AND EXPOSURE TO THE INTERNATIONAL COMPETITION IS MUCH BETTER



However, action is needed by the firms to build sufficient buffer stocks, and in strategic sectors like defence, there needs to be a concerted indigenisation push.

- The corporate balance sheets are more solid than before — with improvement in the Debt-Equity Ratios, as well as increase in the profit margins.
- Banks are better-capitalized (the Capital Adequacy Ratio is around 14% - 16%)
- Fewer zombie firms, which lock up capital in half-dead enterprises.
- Although protectionist walls have been going up, the economy remains substantially exposed to international competition.



2

NOW, MARKETS HAVE GREATER DEPTH

- At least, some markets now have greater depth, more players, and therefore more stability.
- There is also greater transparency and better regulation with scope for improvement in both.



3

BETTER SAFETY NETS FOR THE DOWNTRODDEN

- The food security programme covers around two-thirds of the population,
- The Rural Employment Guarantee Programme, the rolling out of a free health insurance programme for around 40% of the population, and cash payments through DBT to different sections of the people offers some degree of safety net.

In the absence of a basic income guarantee, such steps will enhance social security.

1 DO NOT GIVE PROTECTION TO THE DOMESTIC INDUSTRY

- Our share in the global merchandise exports is hovering around 1.7% - 1.8%.
- High quality, low-cost imports are necessary to join global supply chains.
- Competition from imports hone the domestic skills. Imports substitution is a bad idea.
- 'Make in India' should be 'Make in India for the World'. A case in point is, Vietnam's exports have grown 300% during 2013 to 2018, India's remained almost stagnant and only increased in FY22.

India in recent times increased tariffs to make "Make in India" a success. But, it makes the domestic economy more lethargic!

2 LOWERING OF THE TARIFFS

- Indian tariffs are among the highest in the world.
- They worsened in the recent years with several rounds of tariff increases in the last five to six years.
- Normally, global competitive economies are developed with sunset clause to every tariff.
- Cheaper inputs from abroad will not only make our entrepreneurs more competitive but will also improve domestic productivity.



3 COLLABORATION ACROSS VARIOUS MINISTRIES

- The competitiveness can not be left to the Commerce Ministry alone.
- It needs a high-powered initiative and collaboration across a dozen ministries and the States.
- The Commerce Minister should be empowered to monitor and implement reforms across ministries to enhance competitiveness.



4 ELIMINATE RED-TAPISM FURTHER

- Keep a relentless focus on improving the ease of doing business. In recent times, we have seen significant gains.
- Minimise the interface of officials and citizens by transferring all paperwork online.
- Reduce the time it takes to enforce contracts in particular, where India's performance is one of the worst in the world.



5 REFORM LABOUR LAWS

- Companies have to survive in a downturn. When orders decline, companies have to cut workers.
- Successful nations allow employees to 'hire and fire' but protect the staff with a safety net.
- India should have a Labour Welfare Fund with contribution from employers and Government to finance transitory unemployment and re-training. We should not insist on lifetime jobs.

The four labour codes, by doing necessary modifications if required, must be implemented as early as possible.

6 MAKE LAND ACQUISITION EASY!

- Acquiring an acre of land for industry is not only lengthy, but also expensive.
- The present law requires hundreds of signatures.
- This bureaucratic nightmare needs to be replaced by a sensible law.



7 REDUCE COST OF ELECTRICITY, FREIGHT AND LOGISTICS

- Indian entrepreneurs bear a huge penalty versus our competitors in the cost of electricity, freight and logistics.
- Cross-subsidisation should go away. Reduce logistics costs. Increase the ambit of GST to include electricity, petroleum products etc., to eliminate embedded costs.



8 REFORM EDUCATIONAL SYSTEM AND FOCUS ON R&D

- Keep reforming our educational system .
- Focus on outcomes, to produce employable graduates.



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